shorting more as the stock drops. Now suppose the company goes bankrupt. The stock falls from $10 to zero. You've made $12,000 on the drop, but you had an additional $12,000 in the account when the stock was $10. So your total ending equity is $24,000 when the stock is at zero. Since you started at $5,000, you have made almost a fivefold profit. If you want to, you can pyramid a lot more on the way down than in the example. You could short more at $5 or at any other price. So your profit on the downside is virtually unlimited.

Remember, if the stock goes down and you don't short any more, you have excess equity in the account. If a $50 stock falls to $25, you've got $7,500 of equity in the account. Since you need only $2,500, you could take out the extra $5,000 and earn interest on it or do something else with it.

On the other hand, if you are on the long side and the stock goes from $50 to $100, you can't pull any money out unless you go on margin. Therefore, on the upside you are always pyramiding, because you have to let your money ride all the time. On the short side, to be fully invested you actually have to keep shorting more and more as the stock goes down. People don't think of that for some reason.

Another plus about short selling is that not many people do it. So you have the field relatively to yourself

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Many investors believe it's risky to short more on the way down. It really isn't if you know what you're doing. If the company is going to go broke, it doesn't really matter where you short. You'd make just as much money shorting at $5 as you could at $25. Stocks that are already down from $100 to $10 are still pretty good shorts if the stock is going lower. If the stock eventually dips to $2, you can make 80% by shorting at 10, even without pyramiding. If you short it at